



STARTUPS



Fed up with brands that use corn syrup and skim milk, this mother developed her own 'clean' baby formula



Lauren Forristal — 7:30 AM PDT · July 29, 2025

When Esther Hallam welcomed her daughter, Nara, into the world, she faced the challenge of searching for trustworthy brands that offered high-quality organic infant formula in the U.S.

Despite being available for nearly 160 years, the quality of infant formula options in the U.S. is still lacking, she believes. Many manufacturers opt for skim milk to cut costs, which allows them to add oils to meet nutritional requirements. Several formulas contain palm oil, soy, and corn syrup, which aren't recommended for infants due to their potential health risks.

For instance, [research](#) has linked corn syrup to an increased risk of obesity, while palm oil has been shown to [decrease calcium and fat absorption](#).

"I became fixated by the fact that there wasn't a good, organic infant formula that I trusted, that I wanted to feed my daughter in the United States, which is a first-world country," Hallam told TechCrunch.

For the past seven years, Hallam has been developing her own organic, whole-milk infant formula from scratch, with the help of scientists and pediatric nutritionists.

Today marks the official launch of [Nara Organics](#), which meets both European and U.S. safety standards, and is FDA-registered and USDA-

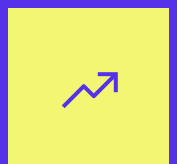
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certified. Most importantly, the formula is free from palm oil, soy, corn syrup, maltodextrin, and genetically modified organisms (GMOs), providing a clean option for conscientious parents looking to nourish their babies with the best possible ingredients.

Nara Organics claims to have the highest percentage of milk fat of any formula sold in the U.S. It also has the lowest percentage of plant-based oils, as the use of whole milk means that less oil is needed to achieve the correct fat content. The ingredient list on the package includes an “organic vegetable oil blend” made up of organic sunflower, coconut, and rapeseed oils, which provide essential fatty acids that support healthy development.

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IMAGE CREDITS: NARA ORGANICS

While there are several brands with organic formulas, such as Bobbie and ByHeart, these products are manufactured in the U.S.

In contrast, Nara Organics chose not to produce its formula in American facilities, potentially due to previous issues with *Cronobacter* contamination, a germ that can survive in dry foods. In recent years, there have been [several](#) recalls of [baby formula](#) linked to outbreaks of *Cronobacter*.

This is why the company prefers to manufacture its formula in Germany, which just so happens to be the birthplace of powdered infant formula.

Chief marketing officer Meika Hollender explained to TechCrunch that the company's manufacturing partner utilizes technology "that doesn't exist anywhere else in the world."

"A critical piece of infant formula, in terms of its shelf life, is how much oxygen gets into the can while you're sealing it. So if you go to facilities in the U.S., they're open. When you're filling, canning, and sealing the can, they're just sort of out in the open air of the facility. And at our facility, the cans actually go into this chamber that has no oxygen in them," Hollender said.

Nara has secured a total of \$32 million from AlleyCorp, BBG Ventures, Corazon Ventures, Gingerbread Capital, and Torch Capital. Additionally, the company has attracted attention from high-profile celebrity investors, including tennis superstar Serena Williams, “Jane the Virgin” actress Gina Rodriguez, and the creators of “Nobody Wants This,” [Erin and Sara Foster](#), among others.

Nicky Hilton, fashion designer and philanthropist, is also an investor and advisor.

“I breastfed all of my three children, but they also all had formula,” Hilton told us. “Every baby and parent is different, and not all mothers are able to breastfeed due to medical, physical, or personal reasons. I think there’s so much judgment and unnecessary pressure about breastfeeding... It’s really exciting to be a part of an innovative brand that is disrupting the baby formula market.”

With this support, Nara Organics could position itself as a key player in the organic formula market, which was valued at approximately [\\$20.7 billion](#) in 2023 and is expected to reach \$37 billion by 2032.



IMAGE CREDITS:NARA ORGANICS

The formula is now available for purchase on the company’s website. Customers can choose the

starter bundle for \$36, which includes two cans. Alternatively, they can sign up for a subscription that delivers either four or six cans every four weeks, priced at \$136 or \$243, respectively. Each can makes about 25 four-ounce bottles.

It also can be purchased through the company's free [mobile app](#), which Hallam launched in 2018. The app is designed to assist users in tracking essential aspects of infant care, including monitoring baby feeding times, keeping a log of wet and soiled diapers, and tracking tummy time exercises.

As part of its launch, the company is donating over 1,400 cans of infant formula to the [Good+Foundation](#), a nonprofit organization working to end multi-generational poverty by supplying essential items and services to under-resourced parents and caregivers.

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Lauren Forristal



Lauren covers media, streaming, apps and platforms at TechCrunch....

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AI



Google denies AI search features are killing website traffic

Sarah Perez — 12:45 PM PDT · August 6, 2025

Numerous studies indicate that the [shift to AI search features](#) and the use of [AI chatbots](#) are killing traffic to publishers' sites. But Google on Wednesday denied that's the case, at least in aggregate. Instead, the search giant says that total organic click volume from its search engine to websites has been "relatively stable" year-over-year and that average click quality has slightly increased.

"This data is in contrast to third-party reports that inaccurately suggest dramatic declines in aggregate traffic — often based on flawed methodologies, isolated examples, or traffic

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changes that occurred prior to the roll out of AI features in Search,” writes Google VP and Head of Search, Liz Reid, in [a new blog post](#).

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Though Google hasn’t shared any specific data to back up its conclusions, even if we assume Google’s claims to be true, this doesn’t necessarily mean that AI isn’t having an impact.

Even Google has to admit this, as Reid acknowledges that “user trends are shifting traffic to different sites, resulting in decreased traffic to some sites and increased traffic to others.”

That word “some” is doing heavy lifting here, as Google doesn’t share data about how many sites are gaining or losing. And while chatbots like ChatGPT have certainly seen traffic increase in recent months, that doesn’t mean online publishers aren’t suffering.



IMAGE CREDITS:GOOGLE

Google has been revamping its search engine for years to answer more questions directly on the search results page, and now does so with AI through its “AI Overviews” that appear at the top of search results. Google also allows users to interact

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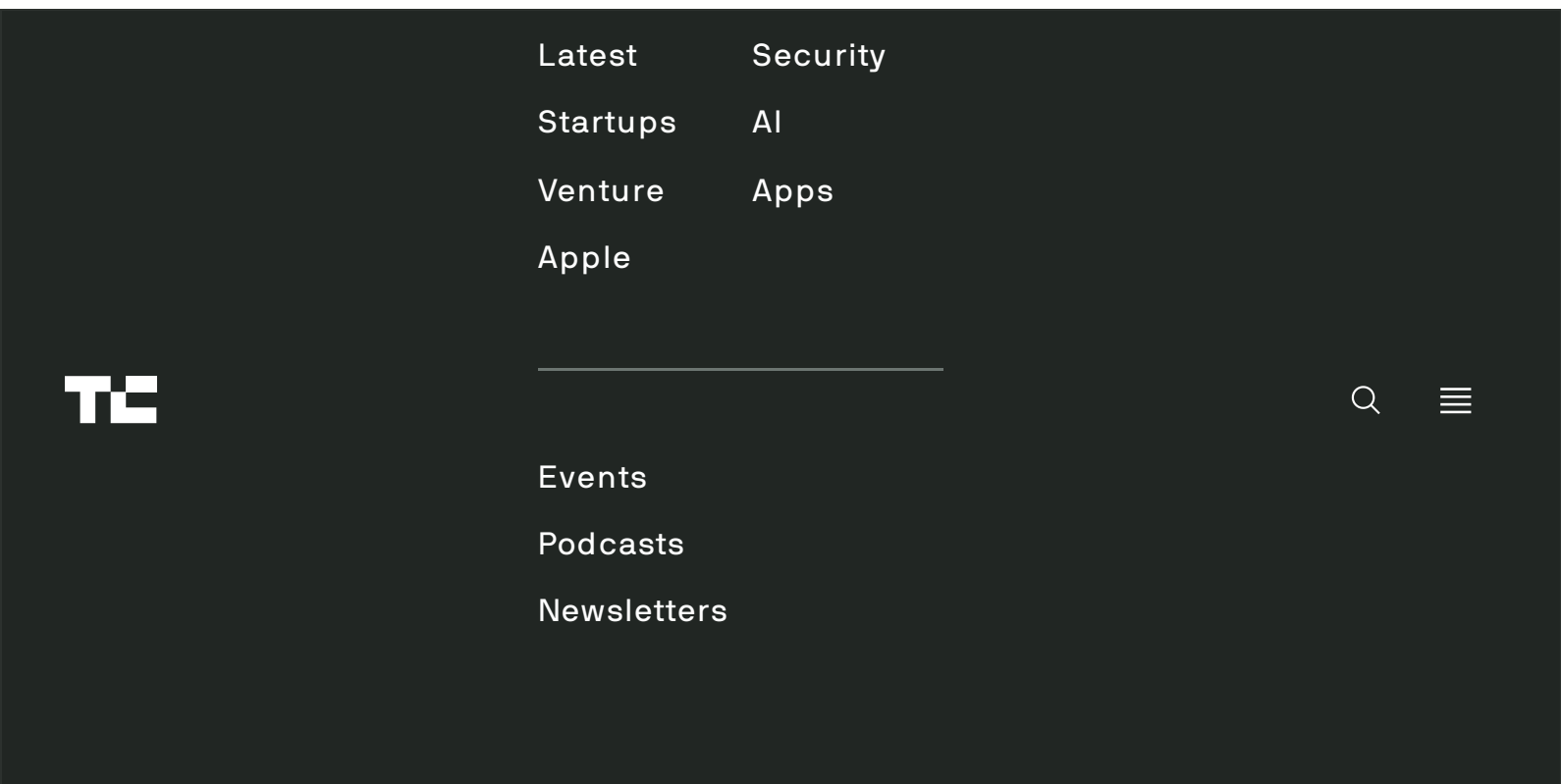
with an AI chatbot for some queries. Yet Google denies that this is significantly reshaping the search landscape. Rather, it points to users shifting their attention to other sites to start their queries.

Reid explains, “People are increasingly seeking out and clicking on sites with forums, videos, podcasts, and posts where they can hear authentic voices and first-hand perspectives.”

Reading between the lines, it seems like Google.com isn’t necessarily people’s first stop on the web these days. (Google denies this, telling us that Reid’s commentary is only reflective of trends it’s seeing in traffic to sites from Google.)

However, we’ve seen this trend for some time. Back in 2022, a Google exec even said that social sites like TikTok and Instagram [were eating into Google’s core products](#), like Search and Maps.

“In our studies, something like almost 40% of young people, when they’re looking for a place for lunch, they don’t go to Google Maps or Search,” said



Shopping. These efforts have included [universal shopping carts](#), [local inventory checks](#), [deal finders](#), [shopping from product images on](#)

[websites](#), and more. It even [made its Shopping listings free](#) for merchants in 2020.

Meanwhile, as users [complained that Google Search quality was declining](#), the search giant was seeing so much demand for Reddit that it finally [added a “Reddit” filter](#) to allow users to narrow down results on relevant search queries. (Now that filter simply reads “forums.”)

So perhaps there’s some truth in Google’s denials — it’s not AI that’s entirely responsible for killing search. Search was already dying.

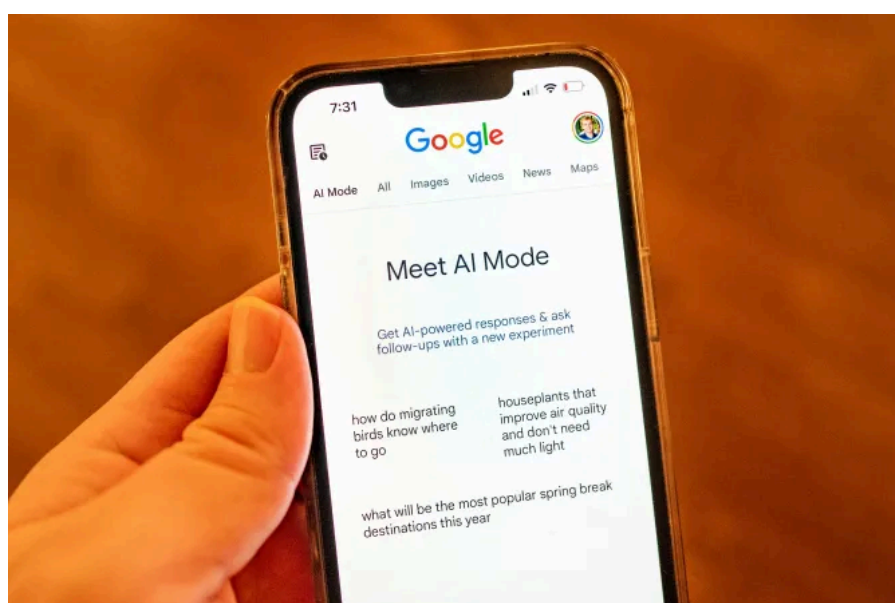


IMAGE CREDITS: SMITH COLLECTION/GADO / GETTY IMAGES

Google’s new blog post also attempts to move the goalposts a bit about what it means for websites receiving Google’s clicks. Now, instead of counting clicks, it wants publishers to think about click quality.

The company says average click quality has increased, and Google is sending “slightly more quality clicks” to websites than a year ago. (Google explains that a quality click is one where users don’t quickly click back — they stay and read.) How much of an increase, though, Google doesn’t say. The company only points out that when people click through on an AI response to the source, they’re

more likely to dive deeper, so those clicks are more valuable.

What’s more, Google paints AI as an opportunity for web publishers to gain increased exposure, saying that “with AI Overviews, people are seeing more links on the page than before,” Reid writes. “More queries and more links mean more opportunities for websites to surface and get clicked.”

But AI, [while a growing referral source](#), isn’t [yet making up the difference](#) in terms of clicks, reports have shown. One recent study from Similarweb indicates that the number of news searches on the web resulting in zero clicks to news websites has grown from 56% (when Google launched AI Overviews in May 2024) to 69% as of May 2025.

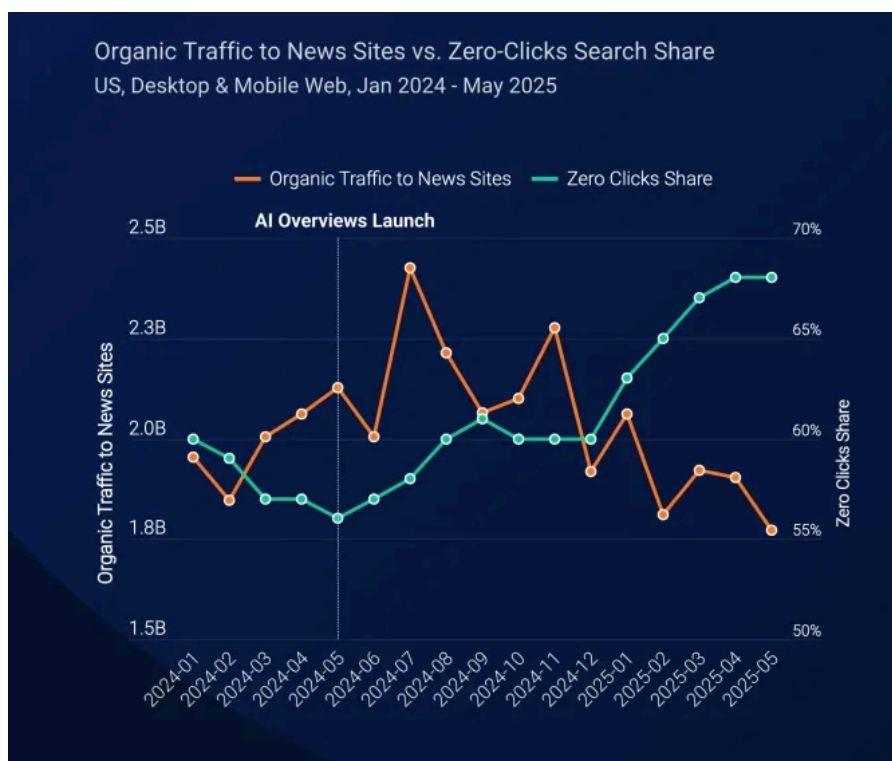


IMAGE CREDITS:SIMILARWEB

Google appears to know this is a trend, too, as it recently launched [a product for publishers](#) that helps them monetize their dwindling traffic in other ways that don’t rely only on advertising, like micropayments or newsletter sign-ups.



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The fact that Google is pushing this “AI is not the end of search traffic!” PR now only makes the situation seem more dire. It’s as if Google wants publishers to believe not what their own eyes — and graphs and charts — tell them, but instead take comfort in the fact that Google still sends “billions of clicks to websites” every day, just as the post claims.

Updated after publication with a comment from Google.

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Sarah Perez

Consumer News Editor | [X](#) [T](#) [@](#) [in](#)

Sarah has worked as a reporter for TechCrunch since August 2011. She joined the company after having...

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High costs and thin margins threatening AI coding startups

Marina Temkin — 2:05 PM PDT · August 7, 2025

In February, AI coding startup Windsurf was in talks to raise a big new round at a [\\$2.85 billion valuation led by Kleiner Perkins](#), at double the valuation it hit six months earlier, sources told TechCrunch at the time. That deal didn't happen, according to a source familiar with the matter. Instead, news broke in April that the startup planned to sell itself to OpenAI for roughly the same valuation: [\\$3 billion](#).

While that deal famously fell apart, one bigger question remains: If the startup was growing that fast and attracting VC interest, why would it sell at all?

Insiders tell TechCrunch that for all the popularity and hype around AI coding assistants, they can actually be massively money-losing businesses. Vibe coders generally, and Windsurf in particular, can have such expensive structures that their gross

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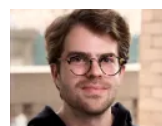
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margins are “very negative,” one person close to Windsurf told TechCrunch. Meaning it cost more to run the product than the startup could charge for it.

This is due to the high costs of using large language models (LLMs), the person explained. AI coding assistants are particularly pressured to always offer the most recent, most advanced, and most expensive LLMs because model makers are particularly fine-tuning their latest models for improvements in coding and related tasks like debugging.

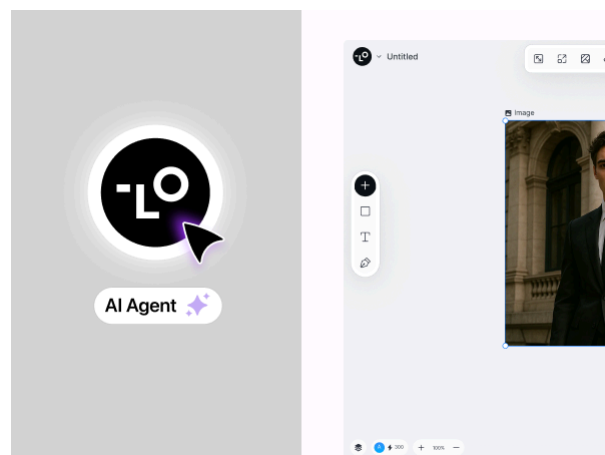
This is a challenge compounded by fierce competition in the vibe-coding and code-assist market. Rivals include companies that already have huge customer bases like Anysphere’s Cursor and GitHub Copilot.

The most straightforward path to improving margins in this business involves the startups building their own models, thereby eliminating costs of paying suppliers like Anthropic and OpenAI.

“It’s a very expensive business to run if you’re not going to be in the model game,” said the person.

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But that idea comes with its own risks. Windsurf's co-founder and CEO, Varun Mohan, ultimately decided against the company building its own model — an expensive undertaking, the person said.

In addition, model makers are already competing directly. Anthropic offers Claude Code and OpenAI offers Codex, for instance.

Selling the business was a strategic move to lock in a high return before it could be undermined by the very companies that supplied its AI, including OpenAI and Anthropic, which were also entering the AI coding market.

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Multiple people believe that the same pressure on margins Windsurf faced could be impacting Anysphere, the maker of Cursor, as well as vibe coders like Lovable, Replit, and others.

“Margins on all of the ‘code gen’ products are either neutral or negative. They’re absolutely abysmal,” said Nicholas Charriere, founder of Mocha, a vibe-coding startup and back-end hosting solution serving small and medium businesses (SMBs). He added that he believes the variable costs for all the startups in the sector are very close, likely within 10% to 15% of one another.

Unlike Windsurf, Anysphere has been growing so fast that it intends to remain an independent

company, having already [turned down acquisition offers](#), including, reports say, from OpenAI.

And Anysphere [announced in January](#) that it is attempting to build its own model, which could give it more control over its expenses. In July, the startup [hired two leaders from Anthropic's Claude Code](#) team, the Information reported, but two weeks later, these employees [returned](#) to work at Anthropic.

In addition to building a model, Anysphere could expect the cost of LLMs to decrease over time.

“That’s what everyone’s banking on,” said Erik Nordlander, a general partner at Google Ventures. “The inference cost today, that’s the most expensive it’s ever going to be.”

It’s not entirely clear how true that is. Rather than falling as expected, the [cost of some of the latest AI models has risen](#), as they use more time and computational resources to handle complicated, multistep tasks.

When that will change remains to be seen. On Thursday, for instance, [OpenAI introduced](#) a new flagship model, GPT-5, with fees that are significantly less than its competitor, Anthropic’s Claude Opus 4.1. And Anysphere [immediately offered](#) this model as a choice for Cursor users.

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Anysphere has also recently changed its pricing structure to pass along the increased costs of running Anthropic’s latest Claude model, particularly to its most active users. The move caught some of [Cursor customers by surprise](#),

since they didn't expect additional charges on top of its \$20-per-month Pro plan. Anysphere CEO Michael Truell later apologized for unclear communication about the pricing change in a [blog post](#).

This is the rock and the hard place. Although Cursor is one of the most popular AI applications, having reached [\\$500 million in ARR in June](#), the company's user base may not be so loyal to the product if another company develops a tool that is superior to Cursor, investors say.

Anysphere didn't respond to a request for comment.

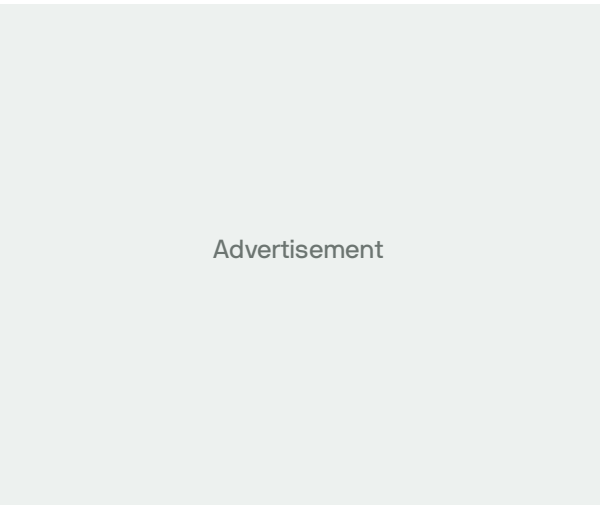
Given the competitive landscape and the costs, Windsurf's decision to get out may prove to be understandable. After the OpenAI deal fell through, the founders and key employees left to join Google in a deal that led to a [\\$2.4 billion payout](#) to key shareholders. The remaining business then [sold itself to Cognition](#).

While many, including prominent VCs, criticized Mohan for leaving approximately 200 employees without roles at Google, a source familiar with the deal insisted the acquisition actually maximized the outcomes for all employees.

Beyond Cursor, other AI coding tools are also among the fastest growing startups of the LLM generation, like Replit, Lovable, and Bolt, and all of them rely on model makers as well.

Additionally, if this extremely popular business sector, already generating hundreds of millions in revenue or more a year, has difficulty building on top of model makers, what might it mean for other, more nascent industries?

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Marina Temkin

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